

Notes: Cooper, Gulen, and Ovtchinnikov (JF, 2010)

Corporate Political Contributions and Stock Returns

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1 Big picture

- **Research question.** Are corporate political contributions associated with higher future stock returns for the contributing firms? More specifically, do firms that support more political candidates subsequently earn higher abnormal returns?
- **Main idea.** The paper treats each politically active firm as holding a portfolio of political relationships. The simplest measure of this political portfolio is the number of candidates the firm supports over a rolling five-year window.
- **Empirical setting.** The authors build a new firm-level database of corporate political action committee (PAC) contributions to U.S. political campaigns from 1979 to 2004, merge it with CRSP and Compustat, and follow contributing firms' stock returns through 2005.
- **Main finding.** Firms that support more candidates earn significantly higher future abnormal returns, after controlling for size, book-to-market, momentum, and selection into political activity.
- **Where the effect is strongest.** The return relation is especially strong for firms that support candidates who hold office in the firm's home state, for contributions tilted toward House candidates, and for contributions tilted toward Democrats.
- **Portfolio implication.** Political-index-weighted portfolios earn positive abnormal returns. A portfolio weighted by the number of supported candidates earns a Fama–French–Carhart four-factor alpha of about 21 basis points per month, or roughly 2.4% per year.
- **Real-performance link.** The contribution indexes also predict increases in future ROE. This suggests that the return relation is not purely mechanical; it is consistent with political activity being connected to later operating performance.
- **Key caution.** The paper documents a robust predictive relation, but it does not conclusively prove causality. Political contributions may proxy for unobserved firm traits, latent political risk, lobbying activity, or other non-public relationship-building efforts.
- **Economic takeaway.** Political contributions appear to contain economically relevant information about firms' future returns and profitability. In this sense, corporate political connections are a potentially valuable firm resource.

2 Incremental contribution of the paper

- **Creates a large firm-level contribution database.** Prior work often studies isolated political events, a small number of connected firms, or individual politicians. This paper constructs a broad panel of corporate PAC contributions, allowing systematic tests across firms and years.
- **Moves beyond event studies.** Instead of asking how firms react to one political shock, the paper asks whether continuous political contribution activity predicts the cross-section of future returns.
- **Measures political connectedness year by year.** The paper converts contribution records into annual political indexes that capture the breadth, strength, local relevance, and power of firm-candidate relationships.

- **Links political activity to asset pricing.** The paper connects the political economy literature to the stock-return predictability literature by asking whether political involvement is priced or mispriced in equity markets.
- **Separates types of political relationships.** The paper distinguishes contributions by party, chamber, home-state relevance, relationship length, and committee power. This helps identify which political ties are most informative.
- **Uses both regression and portfolio evidence.** The relation appears in panel regressions of annual abnormal returns and in monthly portfolio alphas from political-index-weighted portfolios.
- **Adds operating-performance evidence.** By showing that political indexes predict future ROE changes, the paper provides evidence consistent with a real channel behind the return results.
- **Highlights an important unresolved issue.** The findings raise the possibility that returns reflect compensation for political risk, investor underreaction, or rational structural uncertainty about the value of political activity.

3 Data and measurement

3.1 Contribution data

The contribution data come from the Federal Election Commission (FEC) detailed committee and candidate summary files for 1979–2004. The paper focuses on corporate PAC hard-money contributions to candidates for the House, Senate, and Presidency.

- The raw FEC detailed file contains 2,794,790 contributions by all special-interest groups.
- The authors keep corporate PAC contributions, which initially gives 1,064,830 observations.
- After dropping private firms, foreign subsidiaries, and firms without CRSP return data, the sample contains **819,815 contributions** by **1,930 unique firms**.
- After requiring the accounting and return controls needed for regressions, the main panel contains **732,300 contributions** by **1,261 firms**, producing **10,727 firm-year political-index observations**.
- The sample period for the political indexes is October 1984 to October 2004, because a five-year contribution window is required. Returns are followed from November 1984 to October 2005.

Interpretation. The FEC data capture direct, disclosed hard-money contributions. The paper argues that these contributions may also proxy for broader political involvement, including access, lobbying, and other relationship investments that are harder to observe.

3.2 Corporate PAC contributions

Hard-money contributions are candidate-specific and subject to legal limits. During the paper’s sample, a corporate PAC could contribute up to \$10,000 to a candidate per election cycle, split between primary and general elections.

The descriptive evidence shows that the typical politically active firm does not merely give a large amount to one candidate. Instead, firms spread contributions across many candidates.

- The average firm contributes \$64,694 per two-year election cycle.
- The average firm makes 56 contributions per election cycle.
- The average firm supports 31 candidates per election cycle.
- Over a five-year window, contributing firms support an average of 72.5 candidates, of whom 53.2 win their races.

Interpretation. The breadth of a firm’s candidate support is central. The number of supported candidates is interpreted as a proxy for the intensity and scope of the firm’s participation in the political process.

3.3 Political indexes

The paper constructs four political indexes at the end of October of each year. Each index is based on contributions over the prior five years.

- **Number of supported candidates, $PI^{candidates}$.** The baseline index counts the number of distinct candidates to whom the firm contributed over the prior five years:

$$PI_{it}^{candidates} = \sum_{j=1}^J Cand_{ij,t,t-5}.$$

- **Strength index, $PI^{strength}$.** This index gives more weight to candidates who are in office, whose party is stronger, and whose relationship with the firm is longer and uninterrupted.
- **Ability index, $PI^{ability}$.** This index focuses on candidates who hold office in the same state in which the firm is headquartered. It is designed to capture the candidate’s ability to help the firm.
- **Power index, PI^{power} .** This index weights candidates by committee ranking, giving greater importance to more powerful legislators.

Interpretation. The four indexes represent different dimensions of political connectedness: breadth, relationship duration, local relevance, and political power.

3.4 Return variables and controls

The main dependent variable is annual abnormal return. The paper computes a firm’s raw annual return and subtracts the return on a value-weighted matched portfolio formed on size, book-to-market, and momentum.

The standard controls include:

- $\ln(BM)$, the log book-to-market ratio;
- $\ln(SIZE)$, the log market value of equity;

- *BHRET*₁₂, the prior 12-month buy-and-hold return;
- the inverse Mills ratio, *IMR*, from a first-stage probit model of political activity.

Interpretation. The matching portfolio and controls are designed to ensure that the political indexes are not simply picking up known return predictors such as value, size, and momentum.

3.5 Selection into political activity

Not every firm has a PAC. Politically active firms are much larger than noncontributing firms and differ in leverage, book-to-market, prior returns, cash flow, and profitability. To address the nonrandom selection of firms into political activity, the paper estimates a first-stage probit model of whether a firm is politically active.

The first-stage variables include firm size, sales, employees, business and geographic segments, book-to-market, leverage, cash flow, market share, industry concentration, regulation, government purchases, the number of politically active firms in the industry, and industry unionization.

Interpretation. The inverse Mills ratio from this model is included in the return and ROE regressions to reduce selection-bias concerns, though it cannot eliminate all endogeneity concerns.

4 Methodology and empirical specifications

4.1 Annual return regressions

The main regression relates future abnormal returns to lagged political indexes:

$$AR_{i,t+1} = \alpha + \beta \ln(PI_{it}) + \Gamma' X_{it} + \varepsilon_{i,t+1},$$

where $AR_{i,t+1}$ is the annual abnormal return from November of year t to October of year $t + 1$, PI_{it} is one of the four political indexes measured at the end of October of year t , and X_{it} includes the return controls and the inverse Mills ratio.

- The political indexes are logged and standardized to have unit variance.
- Standard errors are clustered by firm.
- The coefficient β measures the change in future abnormal return associated with a one-standard-deviation increase in the logged political index.

4.2 Alternative political-index specifications

The paper estimates the annual return regression separately for each of the four political indexes because the indexes are highly correlated.

- A positive coefficient on $PI^{candidates}$ means firms supporting more candidates earn higher future abnormal returns.
- A positive coefficient on $PI^{strength}$ means longer and stronger firm-candidate relationships predict higher returns.

- A positive coefficient on $PI^{ability}$ means home-state political relationships are especially valuable.
- A positive coefficient on PI^{power} means support for powerful committee members predicts higher returns.

4.3 Party and chamber decompositions

The paper splits political indexes by party and chamber.

For party, the paper constructs Democrat and Republican versions of each index. Because many firms contribute to both parties, the two are highly correlated. The authors use residualization to isolate incremental effects:

- regress the Democrat index on the Republican index and use the residual Democrat index; and
- reverse the procedure by regressing the Republican index on the Democrat index and using the residual Republican index.

For chamber, the paper similarly separates House and Senate indexes and examines whether one component has incremental explanatory power after controlling for the other.

Interpretation. This design asks whether contributions to one political group predict returns above and beyond contributions to the other group.

4.4 Political-index-weighted portfolios

The paper also forms monthly portfolios of politically active firms. For a given political index p , firm i receives weight:

$$w_{it}^p = \frac{PI_{it}^p}{\sum_{i=1}^N PI_{it}^p}.$$

The portfolios are rebalanced annually at the end of October and are held from November of year t to October of year $t + 1$.

The authors estimate CAPM, Fama–French three-factor, and Fama–French–Carhart four-factor alphas for these portfolios.

Interpretation. The portfolio tests ask whether the return relation is strong enough to generate abnormal returns in investable portfolios, not just in firm-level panel regressions.

4.5 Future ROE regressions

To examine whether political contributions are connected to real operating performance, the paper estimates regressions of future changes in ROE:

$$\Delta ROE_{i,t+1} = \alpha + \beta \ln(PI_{it}) + \Gamma' Z_{it} + \varepsilon_{i,t+1}.$$

The controls include lagged Tobin’s Q , firm size, lagged ROE changes, and the inverse Mills ratio.

Interpretation. If political activity creates real benefits for firms, political indexes should predict future profitability improvements. The paper finds this pattern.

5 Identification and interpretation

5.1 What the paper can identify

The paper identifies a strong predictive relation between firm-level political contribution activity and future abnormal returns. The evidence is broad because it is based on a large panel of firms, years, candidates, and contributions.

The evidence is not a clean randomized experiment. Firms choose whether to have PACs, which candidates to support, and how intensive their political strategies should be. The paper therefore interprets its findings carefully as robust correlations that are consistent with political connections having value.

5.2 Selection and omitted-variable concerns

The main endogeneity concern is that politically active firms differ from other firms in ways that may also predict returns. The authors address this by:

- studying only contributing firms in the main return regressions;
- controlling for size, book-to-market, and momentum;
- including an inverse Mills ratio from a first-stage political-activity model;
- checking robustness to year fixed effects, alternative lagged return controls, charitable giving, and firm age.

Interpretation. These checks make the contribution-return relation harder to dismiss as a simple size or value effect, but they do not fully rule out unobserved political risk or omitted firm characteristics.

5.3 Risk versus mispricing

The portfolio alphas are positive relative to standard factor models. This could mean that investors underreact to the value of political activity. It could also mean that politically active firms are exposed to a latent risk factor not captured by standard models.

The paper explicitly avoids claiming that the results prove mispricing. It notes the joint-hypothesis problem: failure of standard factor models to explain the return premium does not prove that the return premium is not risk compensation.

5.4 Why contributions may matter despite small dollar amounts

Corporate PAC contributions are small relative to firm size and often small relative to total campaign finance. The paper's interpretation is that hard-money contributions may be only the observable component of a broader political strategy.

Possible channels include:

- repeated access to politicians;
- lobbying and relationship-specific investments;

- favors or information flows that help firms;
- influence over regulation, appropriations, contracts, or local political decisions.

5.5 Economic interpretation of the main coefficient

The coefficient on the number-of-candidates index implies that a one-standard-deviation increase in supported candidates is associated with about 2.61% higher abnormal return per year. This is economically large relative to the direct dollar amount of PAC contributions.

Interpretation. Either political activity has high private returns, or the observed hard-money contributions are a proxy for more costly and more extensive political engagement.

6 Tables and figures

6.1 Figure 1 and Table I: Sources of election funds and firm contribution characteristics

Read Figure 1:

- Figure 1 reports campaign financing sources for House and Senate candidates from 1979 to 2004.
- Individuals are the largest source of campaign funds.
- Corporate contributions are a smaller fraction of total campaign financing, but corporate PAC contributions are concentrated among far fewer contributors than individual donations.
- The figure separates House/Senate races and Democrat/Republican candidates.

Read Table I:

- Table I describes corporate PAC contribution behavior per firm per two-year election cycle.
- The average firm contributes \$64,694 per election cycle, with a median of \$15,657.
- The average firm supports 31 candidates per election cycle, with large cross-firm variation.
- Firms contribute more to Republicans than to Democrats on average, and more to House candidates than to Senate candidates.

Economic message: Corporate PAC contributions are not the largest part of U.S. campaign finance, but they are systematic, repeated, and broad across candidates. The breadth of candidate support becomes the core empirical measure of firm political activity.

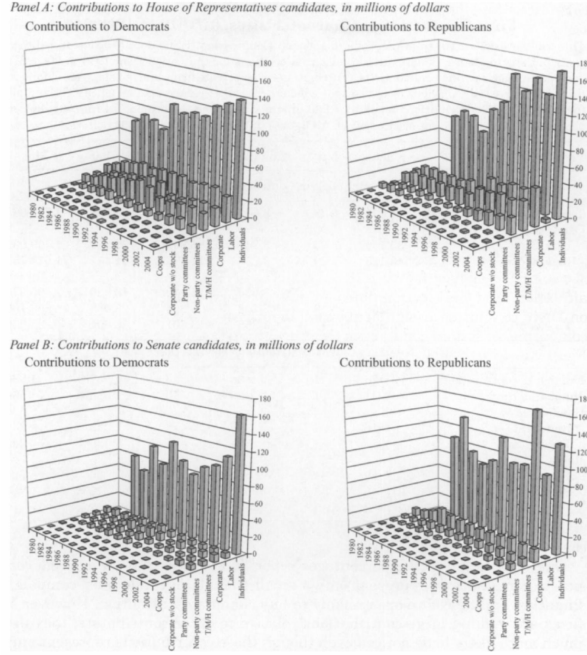


Figure 1. Sources of election funds, 01/1979 to 12/2004. The data come from the FEC summary files on political contributions to House and Senate elections for the period 1979 to 2004. Panel A presents summary data for the House of Representatives elections. Panel B presents summary data for the Senate elections. Contributions are reported for different classes of contributors. Coops are organizations that define themselves as cooperatives. Corporate w/o stock are corporations without capital stock. Party committees are national party committees. Nonparty committees are committees that are not directly affiliated with any parties. T/M/H committees are organizations affiliated with trade associations, membership organizations, or organizations in the health field. Corporate are private and public corporations. Labor are organizations connected with labor entities. Individuals are individual contributors. All figures are in millions of 12/2004 dollars.

Figure 1: Sources of election funds, 1979–2004.

Table I
Firm Contribution Characteristics, 01/1979 to 12/2004

This table presents data from the Federal Election Commission (FEC) detailed files on political contributions to House, Senate, and Presidential elections for the period from 1979 to 2004. We exclude all noncorporate contributions, contributions from private firms and subsidiaries of foreign firms, as well as contributions from firms for which there are no return data on CRSP. The sample includes 819,815 contributions made by 1,930 unique firms. The table reports firm contribution characteristics per firm, per election cycle. All figures in Panel A are in 12/2004 dollars.

Variable	Mean	Min	25 th Per	Median	75 th Per	Max
Panel A: Dollar Amount of Firm Contributions per Election Cycle						
Total contributions	\$64,694	29	3,606	15,657	60,668	2,713,367
Candidates						
Democrats	30,758	33	2,347	8,352	29,530	1,439,031
Republicans	43,126	29	3,037	11,327	41,431	1,614,756
Races						
House	50,176	41	3,556	14,110	48,920	2,195,978
Senate	26,258	19	2,708	8,854	28,058	658,160
Presidential	5,660	11	1,365	3,661	6,801	84,530
Panel B: Number of Firm Contributions per Election Cycle						
Number of contributions	56	1	3	15	57	1,930
Number of candidates	31	1	2	10	38	564
Candidates						
Democrats	16	1	2	6	19	338
Republicans	20	1	2	7	25	245
Races						
House	29	1	3	11	36	505
Senate	8	1	2	4	12	64
Presidential	2	1	1	1	2	9

Table I: Firm contribution characteristics per election cycle.

6.2 Table II and Table III: Political indexes and firm characteristics

Read Table II:

- Table II reports summary statistics for the four political indexes.
- The average politically active firm supports 72.5 candidates over a five-year window.
- The indexes are highly correlated, especially the candidate count and the power index.
- The ability index is more distinct because it focuses on home-state candidates.

Read Table III:

- Table III compares contributing and noncontributing firms and then sorts contributing firms by the number of supported candidates.
- Politically active firms are much larger than noncontributors: median market capitalization is \$1.58 billion for contributors versus \$195 million for noncontributors.
- Contributing firms have higher book-to-market and leverage, lower cash flow, and lower prior 36-month returns.
- Within contributing firms, the number of supported candidates rises strongly with firm size.

Economic message: Political activity is concentrated among large firms, so size and selection are central empirical concerns. The paper’s later regressions control for these differences.

Table II
Political Indexes Descriptive Statistics, 10/1984 to 10/2004

This table presents data from the FEC detailed files on political contributions to House, Senate, and Presidential elections. We exclude all noncorporate contributions, contributions from private firms and subsidiaries of foreign firms, as well as contributions from firms for which there are insufficient data on CRSP/Compustat. Individual contributions are combined into four different political indexes (PIs), computed as in equations (1) to (4) in the text. Panel A presents the descriptive statistics for each political index. Panel B presents correlation coefficients across four political indexes. $PI_{it}^{candidates}$ is the number of supported candidates, $PI_{it}^{strength}$ is the strength of the relationships between candidates and the contributing firm, $PI_{it}^{ability}$ is the ability of the candidates to help the firm, and PI_{it}^{power} is the power of the candidates. The FEC data are from January of 1979 to December of 2004. Since we require 5 years of data to compute each PI, the indexes are computed at the end of October of each year, from 1984 to 2004, resulting in 10,727 firm-year observations for each of the four political indexes computed for 1,261 unique firms. The descriptive statistics and the correlations are computed using full-sample pooled data. The p -values in Panel B test the null hypothesis that the correlations are equal to zero.

Panel A: Descriptive Statistics								
Political Index	Units	Mean	St. Dev.	Min	25 th Per	Median	75 th Per	Maximum
$PI_{it}^{candidates}$	Candidates	72.5	95.9	1	10	31	98	818
$PI_{it}^{strength}$	Candidate-months	1,691.0	3,394.4	0	64.6	373.7	1,614.1	49,816.6
$PI_{it}^{ability}$	Home candidates	6.9	7.3	0	1.5	4.9	9.7	60.2
PI_{it}^{power}	Candidate-committee rank	256.2	337.4	0	33.1	111.0	351.8	2,619.9
Panel B: Correlations								
	$PI_{it}^{candidates}$	$PI_{it}^{strength}$	$PI_{it}^{ability}$	PI_{it}^{power}				
$PI_{it}^{candidates}$	1							
$PI_{it}^{strength}$	0.871 (<0.001)	1						
$PI_{it}^{ability}$	0.539 (<0.001)	0.470 (<0.001)	1					
PI_{it}^{power}	0.968 (<0.001)	0.890 (<0.001)	0.544 (<0.001)	1				

Table II: Political-index descriptive statistics.

Table III
Characteristics of Contributing and Noncontributing Firms, 01/1984 to 12/2004

This table presents formation period summary statistics for various firm characteristics of contributing and noncontributing firms. Capitalization SIZE, in millions of \$, is calculated using the price and the number of shares outstanding from the end of October of year t . BHHRET36 is the 36-month buy-and-hold return over October $t-3$ to September t . BHHRET12 is the 12-month buy-and-hold return computed from October $t-1$ to September t . All accounting variables (total assets (ASSETS), in millions of \$, number of employees (EMP), in millions, book-to-market ratio (BM), Leverage, return on equity (ROE), cash flow (CF), and profitability (PROFIT)) are calculated using Compustat data in the fiscal year ending in calendar year $t-1$. Number of supported candidates is the average number of supported candidates per firm over a 5 year rolling window (see equation (1) in the text) computed annually at the end of October of year t . Number of firms is the average number of firms per year for the noncontributors and contributors. The numbers in each cell are time series averages of yearly cross-sectional medians, with the exception of average capitalization (SIZE-AVG), in millions of \$, which is the time-series average of yearly cross-sectional mean capitalization. Panel A reports characteristics of noncontributing and contributing firms. Panel B reports characteristics of the contributing firms based on annual decile sorts of the number of supported candidates (equation (1)) measure. Panel C reports characteristics of noncontributing firms (top number) and contributing firms (middle number) as well as the t -test for the difference between noncontributing and contributing firms (bottom number) based on NYSE annually ranked size decile breakpoints. The contributing firm sample has 10,727 firm-year observations. Noncontributing firms are all other firms in the CRSP/Compustat merged database with nonmissing values of the firm characteristics used in this table. All numbers, with the exception of ASSETS, SIZE, and SIZE-AVG, are in decimal form, that is 0.01 is 1%. Details on the construction of these variables are provided in Appendix A.

Portfolio	BHRET36	BHRET12	ASSETS	SIZE	SIZE-AVG	BM	Leverage	CF	EMP	PROFIT	ROE	Number of Supported Candidates	Number Firms
Panel A: Comparison of Noncontributing and Contributing Firms													
Noncontributors	0.365	0.116	285	195	1,143	0.618	0.143	0.068	1.1	0.127	0.107	N/A	3,556
All contributors	0.236	0.115	2,592	1,583	6,318	0.697	0.256	0.062	10.1	0.141	0.124	46.6	511
t -test (difference)	-6.16	-0.04	8.13	8.74	5.10	2.02	21.57	-3.29	31.67	3.17	4.91		
Panel B: Comparison of Contributing Firms Partitioned by the Number of Supported Candidates Index													
Low number of supported candidates	0.275	0.107	690	401	1,107	0.713	0.267	0.063	3.1	0.145	0.113	2.9	51
Decile 2	0.269	0.111	962	542	1,457	0.733	0.270	0.061	3.3	0.141	0.118	8.3	51
Decile 3	0.225	0.115	1,134	729	1,418	0.795	0.275	0.058	3.8	0.142	0.129	15.4	51

(continued)

Table III, part 1: Contributing versus noncontributing firms.

Table III—Continued

Portfolio	BHRET36	BHRET12	ASSETS	SIZE	SIZE-ANG	BM	Leverage	CF	EMP	PROFIT	ROE	Number of Supported Candidates	Number Firms
Panel B: Comparison of Contributing Firms Partitioned by the Number of Supported Candidates Index													
Decile 4	0.211	0.127	1,380	799	1,705	0.811	0.276	0.056	5.3	0.135	0.118	24.6	52
Decile 5	0.223	0.115	1,719	1,018	2,438	0.758	0.283	0.054	6.9	0.129	0.120	37.4	51
Decile 6	0.273	0.089	2,588	1,675	3,543	0.689	0.348	0.064	11.0	0.145	0.125	56.8	51
Decile 7	0.223	0.125	4,235	2,560	5,344	0.635	0.338	0.067	15.1	0.143	0.126	87.0	51
Decile 8	0.258	0.115	6,089	3,543	7,151	0.646	0.250	0.066	20.6	0.144	0.130	130.0	51
Decile 9	0.228	0.134	11,202	6,404	12,859	0.642	0.255	0.063	32.0	0.138	0.126	194.4	51
High number of supported candidates	0.244	0.113	18,670	12,437	28,799	0.592	0.211	0.067	65.6	0.151	0.154	318.1	51
t-test (high – low)	-1.05	0.14	7.09	7.01	5.40	-2.17	-5.64	1.44	21.60	1.12	7.25	99.63	
Panel C: Comparison of Noncontributing and Contributing Firms by Size Deciles													
Small noncont.	0.250	0.082	84	40	48	0.827	0.130	0.058	0.3	0.101	0.083	N/A	1,240
Cont.	0.148	0.012	154	53	63	1.338	0.215	0.055	1.2	0.114	0.078	8.9	17
t-test	(-2.85)	(-1.29)	(2.93)	(1.49)	(1.25)	(4.56)	(7.17)	(-1.28)	(7.29)	(1.79)	(-0.75)		
Decile 2	0.396	0.090	166	135	146	0.617	0.116	0.063	0.8	0.123	0.097	N/A	634
	0.167	0.042	337	130	138	1.026	0.225	0.050	2.9	0.109	0.00	12.9	23
	(-7.35)	(-0.83)	(4.17)	(-0.20)	(-0.27)	(7.29)	(7.01)	(-5.17)	(13.12)	(-2.27)	(-5.07)		
Decile 3	0.401	0.118	289	247	261	0.586	0.140	0.068	1.4	0.135	0.107	N/A	430
	0.215	0.055	497	240	250	0.857	0.281	0.061	3.4	0.133	0.100	17.9	33
	(-7.15)	(-1.27)	(2.90)	(-0.14)	(-0.25)	(6.47)	(14.17)	(-2.03)	(6.47)	(-0.47)	(-1.34)		
Decile 4	0.448	0.140	431	365	403	0.552	0.150	0.074	1.9	0.145	0.116	N/A	325
	0.192	0.104	747	375	382	0.825	0.282	0.059	3.4	0.137	0.109	19.0	37
	(-9.09)	(-0.74)	(3.21)	(-0.16)	(-0.32)	(7.44)	(16.44)	(-6.04)	(6.02)	(-1.43)	(-1.23)		

(continued)

Table III—Continued

Portfolio	BHRET36	BHRET12	ASSETS	SIZE	SIZE-ANG	BM	Leverage	CF	EMP	PROFIT	ROE	Number of Supported Candidates	Number Firms
Decile 5	0.482	0.155	615	587	614	0.508	0.163	0.077	2.8	0.154	0.124	N/A	255
	0.216	0.113	1,049	572	586	0.784	0.270	0.057	4.4	0.132	0.117	18.1	48
	(-9.89)	(-0.89)	(4.17)	(-0.17)	(-0.29)	(6.42)	(13.05)	(-6.46)	(3.28)	(-5.00)	(-1.65)		
Decile 6	0.472	0.244	967	882	928	0.523	0.174	0.079	3.9	0.153	0.131	N/A	199
	0.228	0.155	1,540	895	916	0.752	0.278	0.060	6.5	0.139	0.117	23.7	56
	(-7.53)	(-2.00)	(3.56)	(0.10)	(-0.09)	(4.88)	(12.96)	(-6.50)	(4.49)	(-2.98)	(-3.60)		
Decile 7	0.483	0.164	1,431	1,367	1,429	0.493	0.177	0.081	5.1	0.160	0.136	N/A	163
	0.232	0.117	2,259	1,367	1,411	0.722	0.271	0.062	7.7	0.141	0.125	31.7	68
	(-8.15)	(-0.76)	(3.34)	(0.00)	(-0.09)	(5.67)	(9.72)	(-7.08)	(5.77)	(-4.21)	(-2.42)		
Decile 8	0.489	0.173	2,206	2,267	2,393	0.466	0.187	0.083	7.9	0.165	0.141	N/A	137
	0.224	0.120	3,802	2,296	2,365	0.666	0.268	0.066	12.9	0.145	0.127	54.2	75
	(-7.88)	(-0.89)	(3.88)	(0.09)	(-0.08)	(5.29)	(13.43)	(-6.36)	(6.98)	(-4.42)	(-2.96)		
Decile 9	0.465	0.183	3,997	4,417	4,728	0.434	0.182	0.081	13.4	0.166	0.149	N/A	103
	0.267	0.133	6,450	4,527	4,668	0.581	0.253	0.068	22.9	0.151	0.141	89.8	76
	(-5.38)	(-1.01)	(2.92)	(0.15)	(-0.08)	(3.29)	(11.61)	(-4.79)	(5.28)	(-2.59)	(-1.89)		
Big	0.465	0.182	13,171	12,885	19,805	0.406	0.163	0.086	39.4	0.173	0.166	N/A	70
	0.224	0.171	14,778	16,287	27,479	0.387	0.185	0.084	53.5	0.190	0.170	183.5	78
	(-2.80)	(-0.20)	(0.68)	(1.03)	(1.37)	(-0.38)	(3.30)	(-0.96)	(2.54)	(2.52)	(1.59)		

Table III, part 2: Contribution deciles and size-decile comparisons.

Table III, part 3: Continued size-decile comparisons.

6.3 Table IV and Table V: Main return regressions and political decompositions

Read Table IV:

- Table IV reports the main annual abnormal-return regressions for firms participating in the political process.
- The number of supported candidates positively predicts future abnormal returns.
- The alternative indexes – strength, ability, and power – also have positive and statistically significant coefficients.
- The coefficient on the candidate-count index implies about 2.61% higher abnormal return per year for a one-standard-deviation increase in the index.

Read Table V:

- Table V splits political indexes by party and chamber.
- The Democrat component has incremental predictive power after controlling for the Republican component.
- The residual Republican component has little incremental predictive power after controlling for the Democrat component.
- The House component has incremental predictive power after controlling for the Senate component, while the residual Senate component is generally insignificant after controlling for House contributions.

Economic message: The return predictability is not just a generic PAC effect. It is especially informative when firms support Democrats and House candidates, and when political ties are local or powerful.

Table IV
Panel Return Regressions for Firms Participating in the Political Process, 11/1984 to 10/2005

This table presents regressions of annual abnormal returns, calculated from November of year t to October of year $t+1$, on the natural logarithm of each lagged political index $\text{Ln}(\text{PI})$, control variables, and the inverse Mills ratio (IMR). $\text{PI}^{\text{candidate}}$ is the number of supported candidates, $\text{PI}^{\text{strength}}$ is the strength of the relationships between candidates and the contributing firm, $\text{PI}^{\text{ability}}$ is the ability of the candidates to help the firm, and PI^{power} is the power of the candidates. The PIs are computed annually at the end of October of each year t . The control variables are the natural logarithm of book-to-market ($\text{Ln}(\text{BM})$), the natural logarithm of the firm's market value of equity ($\text{Ln}(\text{SIZE})$), and 12-month buy-and-hold returns (BHRET12). The IMR is estimated as of October of each year t using the Probit model in Appendix B. BHRET12 is computed from October $t-1$ to September t . $\text{Ln}(\text{SIZE})$ is calculated using the price and the number of shares outstanding from the end of October of year t . $\text{Ln}(\text{BM})$ is calculated using Compustat data in the fiscal year ending in calendar year $t-1$ and capitalization from December of year $t-1$. The regression sample includes 10,727 firm-year political index observations. Abnormal returns are computed as the difference between a firm's raw annual return and the value-weighted annual return for a book-to-market, size, and momentum matched portfolio of firms. The t -statistics are clustered by firm and reported in parentheses. Details on the construction of these variables are provided in Appendix A.

Specification	Intercept	$\text{Ln}(\text{BM})$	$\text{Ln}(\text{SIZE})$	BHRET12	IMR	$\text{Ln}(\text{PI}^{\text{candidate}})$	$\text{Ln}(\text{PI}^{\text{strength}})$	$\text{Ln}(\text{PI}^{\text{ability}})$	$\text{Ln}(\text{PI}^{\text{power}})$
1	-0.0431 (-4.36)				0.0583 (4.75)	0.0242 (5.11)			
2	-0.0410 (-4.08)				0.0560 (4.53)		0.0224 (4.44)		
3	-0.0310 (-3.54)				0.0447 (4.14)			0.0137 (3.27)	
4	-0.0430 (-4.49)				0.0582 (4.86)				0.0254 (5.63)
5	0.0150 (0.38)	0.0044 (0.74)	-0.0059 (-1.38)	-0.0133 (-1.19)	0.0454 (2.99)	0.0261 (5.22)			
6	0.0071 (0.18)	0.0048 (0.81)	-0.0048 (-1.13)	-0.0142 (-1.27)	0.0453 (2.95)		0.0241 (4.60)		
7	-0.0172 (-0.44)	0.0088 (1.48)	-0.0008 (-0.18)	-0.0158 (-1.41)	0.0419 (2.75)			0.0149 (3.45)	
8	0.0274 (0.70)	0.0036 (0.61)	-0.0074 (-1.69)	-0.0132 (-1.18)	0.0428 (2.87)				0.0281 (5.80)

Table IV: Panel return regressions for politically active firms.

Table V
Panel Return Regressions for Democrat/Republican and House/Senate Political Indexes, 11/1984 to 10/2005

This table presents regressions of annual abnormal returns, calculated from November of year t to October of year $t+1$, on the natural logarithm of each lagged political index $\text{Ln}(\text{PI})$, control variables, and the inverse Mills ratio (IMR). $\text{PI}^{\text{candidate}}$ is the number of supported candidates, $\text{PI}^{\text{strength}}$ is the strength of the relationships between candidates and the contributing firm, $\text{PI}^{\text{ability}}$ is the ability of the candidates to help the firm, and PI^{power} is the power of the candidates. The political indexes (PIs) are combined into four separate Democrat (Republican) PIs by modifying equations (1) to (4) with an indicator variable equal to one if the candidate is affiliated with the Democratic (Republican) Party and zero otherwise. Similarly, contributions are combined into separate House (Senate) PIs by modifying equations (1) to (4) with an indicator variable equal to one if the candidate is affiliated with the House (Senate) and zero otherwise. The PIs are computed annually at the end of October of each year t . The control variables are the natural logarithm of book-to-market ($\text{Ln}(\text{BM})$), the natural logarithm of the firm's market value of equity ($\text{Ln}(\text{SIZE})$), and 12-month buy-and-hold returns (BHRET12). The inverse Mills ratio (IMR) is estimated as of October of each year t using the Probit model in Appendix B. BHRET12 is computed from October $t-1$ to September t . $\text{Ln}(\text{SIZE})$ is calculated using the price and the number of shares outstanding from the end of October of year t . $\text{Ln}(\text{BM})$ is calculated using Compustat data in the fiscal year ending in calendar year $t-1$ and capitalization from December of year $t-1$. The regression sample includes 10,727 firm-year political index observations. Abnormal returns are computed as the difference between a firm's raw annual return and the value-weighted annual return for a book-to-market, size, and momentum matched portfolio of firms. Panel A1 (A2) reports the results for Republican and residual Democrat (Democrat and residual Republican) PIs. Panel B1 (B2) reports the results for House and residual Senate (Senate and residual House) PIs. The residual PI is obtained from regressing each PI in equation (1) to (4) on its counterpart PI. Only coefficients on PIs are reported. The t -statistics are clustered by firm and are reported in parentheses. Details on the construction of these variables are provided in Appendix A.

Panel A1: Republican and Residual Democrat PI Regressions

Specification	$\text{Ln}(\text{PI}^{\text{Republican}})$	$\text{Ln}(\text{PI}^{\text{Residual Democrat}})$	$\text{Ln}(\text{PI}^{\text{strength}})$	$\text{Ln}(\text{PI}^{\text{ability}})$	$\text{Ln}(\text{PI}^{\text{power}})$	$\text{Ln}(\text{PI}^{\text{House}})$	$\text{Ln}(\text{PI}^{\text{Residual Senate}})$
1	0.0203 (5.05)	0.0231 (4.74)					
2			0.0192 (4.97)	0.0190 (3.65)			
3				0.0133 (3.57)	0.0078 (1.92)		
4						0.0201 (4.66)	0.0181 (3.81)

(continued)

Table V, part 1: Democrat/Republican and House/Senate regressions.

6.4 Table V continued and Table VI: Incremental components and portfolio alphas

Read Table V continued:

- The continuation of Table V reports the residualized party and chamber regressions.
- The residual Democrat and residual House measures are consistently more informative than the residual Republican and residual Senate measures.
- The results suggest that not all political support has the same return implications.

Read Table VI:

- Table VI forms portfolios of contributing firms weighted by political-index intensity.
- CAPM alphas are positive and significant, ranging from about 39 to 48 basis points per month.
- Fama–French–Carhart four-factor alphas are also positive and significant, ranging from about 18 to 22 basis points per month.
- The three-factor alphas are positive but not statistically significant.

Economic message: The contribution-return relation is strong enough to appear in portfolio returns. Standard factor models do not fully absorb the abnormal returns of politically active, high-index firms.

Table V—Continued

Panel A2: Democrat and Residual Republican PI Regressions							
Specification	$\text{Ln}(PI_{t+1}^{\text{Dem}})$	$\text{Ln}(PI_{t+1}^{\text{Rep}})$	$\text{Ln}(PI_{t+1}^{\text{Strength}})$	$\text{Ln}(PI_{t+1}^{\text{Ability}})$	$\text{Ln}(PI_{t+1}^{\text{Power}})$	$\text{Ln}(PI_{t+1}^{\text{Dem}})$	$\text{Ln}(PI_{t+1}^{\text{Rep}})$
1	0.0315 (6.13)	-0.0028 (-0.75)					
2			0.0290 (5.60)	-0.0035 (-0.90)			
3					0.0186 (4.51)	0.0012 (0.34)	
4						0.0319 (6.73)	-0.0029 (-0.69)

Panel B1: Senate and Residual House PI Regressions							
Specification	$\text{Ln}(PI_{t+1}^{\text{House}})$	$\text{Ln}(PI_{t+1}^{\text{Senate}})$	$\text{Ln}(PI_{t+1}^{\text{Strength}})$	$\text{Ln}(PI_{t+1}^{\text{Ability}})$	$\text{Ln}(PI_{t+1}^{\text{Power}})$	$\text{Ln}(PI_{t+1}^{\text{House}})$	$\text{Ln}(PI_{t+1}^{\text{Senate}})$
1	0.0146 (3.44)	0.0254 (5.14)					
2			0.0147 (3.50)	0.0190 (3.75)			
3					0.0124 (3.11)	0.0083 (2.13)	
4						0.0172 (3.93)	0.0224 (4.51)

Panel B2: House and Residual Senate PI Regressions							
Specification	$\text{Ln}(PI_{t+1}^{\text{House}})$	$\text{Ln}(PI_{t+1}^{\text{Senate}})$	$\text{Ln}(PI_{t+1}^{\text{Strength}})$	$\text{Ln}(PI_{t+1}^{\text{Ability}})$	$\text{Ln}(PI_{t+1}^{\text{Power}})$	$\text{Ln}(PI_{t+1}^{\text{House}})$	$\text{Ln}(PI_{t+1}^{\text{Senate}})$
1	0.0276 (5.44)	-0.0033 (-0.83)					
2			0.0258 (4.86)	-0.0027 (-0.71)			
3					0.0158 (3.68)	0.0009 (0.24)	
4						0.0305 (6.29)	-0.0020 (-0.45)

Table V, part 2: Continued residual party and chamber regressions.

6.5 Table VII and Appendix B: Future profitability and selection into political activity

Read Table VII:

- Table VII regresses future changes in ROE on lagged political indexes.
- All four political indexes positively predict future ROE changes.
- The ability index has the largest reported statistical significance among the political indexes in this table.
- This result supports the view that political contributions are related to future operating performance, not only stock returns.

Read Appendix B:

- Appendix B reports the first-stage probit model for whether a firm is politically active.
- Larger firms, firms with more sales and employees, firms with more leverage, regulated firms, firms in industries with government purchases, and firms in more unionized industries are more likely to have PACs.
- Cash flow and geographic segments enter negatively in the probit.
- The inverse Mills ratio from this model is included in the main return and ROE regressions.

Economic message: The profitability evidence provides a plausible economic channel, while the probit shows why selection into political activity must be controlled for.

Table VI
Monthly Abnormal Returns for Firms Participating in the Political Process, 11/1984 to 10/2005

Portfolios of contributing firms are formed by weighting each firm by its relative value of a given lagged political contribution index. $PI_{it}^{\text{candidates}}$ is the number of supported candidates, $PI_{it}^{\text{strength}}$ is the strength of the relationships between candidates and the contributing firm, PI_{it}^{ability} is the ability of the candidates to help the firm, and PI_{it}^{power} is the power of the candidates. The portfolios are rebalanced once a year, at the end of October. The weight given to stock i in the portfolio from November of year t to October of year $t + 1$ is

$$w_{it}^p = \frac{PI_{it}^p}{\sum_{i=1}^N PI_{it}^p},$$

where p equals the portfolio for a particular political index, and PI_{it}^p is the political index value for firm i (where $i = 1, 2, \dots, N$) in October of year t . We form a time series of monthly returns to each portfolio from November 1984 to October 2005. We regress the time series of portfolio returns in excess of the risk-free rate on the market risk premium on the three factors from the Fama-French model and on the four factors from the Fama-French-Carhart model and report the intercept (i.e., the alpha) for each portfolio. Returns are in decimal form, that is, 0.01 is 1%. t -statistics are in parentheses.

Returns	Portfolio Weights			
	$PI_{it}^{\text{candidates}}$ Weighted	$PI_{it}^{\text{strength}}$ Weighted	PI_{it}^{ability} Weighted	PI_{it}^{power} Weighted
CAPM alpha	0.0040 (3.35)	0.0039 (3.15)	0.0048 (3.74)	0.0040 (3.35)
FF three-factor alpha	0.0009 (1.13)	0.0007 (0.93)	0.0011 (1.44)	0.0008 (1.11)
FFC four-factor alpha	0.0021 (2.94)	0.0018 (2.43)	0.0022 (3.18)	0.0021 (2.99)

Table VI: Monthly abnormal returns for political-index-weighted portfolios.

Table VII
Panel ROE Regressions for Firms Participating in the Political Process, 12/1994 to 12/2004

(This table presents regressions of annual changes in ROE ($ROE_{it+1} - ROE_{it}$) on the natural logarithm of each lagged political index (PI), the natural logarithm of lagged Tobin's Q ($Ln(Q)$), the natural logarithm of the firm's lagged market value of equity ($Ln(SIZE)$), lagged annual changes in ROE (ΔROE), and the inverse Mills ratio (IMR). ROE_{it} is from December of year t , the PIs are computed annually at the end of October of each year t , $Ln(SIZE)$ and $Ln(Q)$ are from December of year t , ΔROE is constructed as $ROE_{it} - ROE_{it-1}$, and the IMR is estimated as of October of sub year t using the Probit model in Appendix B. $PI_{it}^{candidates}$ is the number of supported candidates, $PI_{it}^{strength}$ is the strength of the relationships between candidates and the contributing firm, $PI_{it}^{ability}$ is the ability of the candidates to help the firm, and PI_{it}^{power} is the power of the candidates. The regression sample includes 10,727 firm-year political index observations. The t -statistics are clustered by firm and reported in parentheses.)

Specification	Intercept	$Ln(Q)$	$Ln(SIZE)$	ΔROE	IMR	$Ln(PI_{it}^{candidates})$	$Ln(PI_{it}^{strength})$	$Ln(PI_{it}^{ability})$	$Ln(PI_{it}^{power})$
1	0.1018 (2.99)	0.0332 (3.42)	-0.0138 (-3.32)	-0.2605 (-5.91)	-0.0265 (-2.88)	0.0055 (2.09)			
2	0.1025 (3.01)	0.0336 (3.45)	-0.0141 (-3.37)	-0.2606 (-5.92)	-0.0258 (-2.81)		0.0070 (2.41)		
3	0.1024 (3.04)	0.0341 (3.50)	-0.0139 (-3.42)	-0.2606 (-5.91)	-0.0263 (-2.84)			0.0085 (3.49)	
4	0.1041 (2.99)	0.0334 (3.43)	-0.0141 (-3.30)	-0.2605 (-5.91)	-0.0272 (-2.97)				0.0057 (2.10)

Table VII: ROE regressions for politically active firms.

Variable	Probit Model (1 = active; 0 = not active) Coefficient
Intercept	-4.2257 (-26.11)
Ln(SIZE)	0.2294 (5.38)
Ln(SALES)	0.2157 (11.33)
Ln(EMPLOYEES)	0.1350 (21.01)
NO. BUSINESS SEGMENTS	0.0399 (3.86)
NO. GEOGRAPHIC SEGMENTS	-0.1098 (-3.88)
BM	-0.0342 (-0.50)
LEVERAGE	0.5305 (20.10)
CF	-0.6495 (-6.63)
MARKET SHARE	0.7154 (1.99)
(MARKET SHARE) ²	0.3407 (0.21)
HERFINDAHL INDEX	0.2624 (0.56)
REGULATION INDICATOR	0.3918 (4.08)
GOVERNMENT PURCHASES	1.0164 (4.82)
NO. POLITICALLY ACTIVE FIRMS	0.0003 (5.71)
PERCENT EMPLOYEES UNIONIZED	1.8151 (14.83)
Log-likelihood / R^2	-812.49/0.411
N	63,645

Appendix B: First-stage probit model of political activity.

7 Short summary

- The paper studies whether corporate PAC contributions predict future stock returns.
- It builds a new FEC/CRSP/Compustat database covering corporate political contributions from 1979 to 2004.
- The final return-regression panel contains 10,727 firm-year observations for politically active firms.
- The baseline political index counts the number of candidates a firm supported over the prior five years.
- Firms supporting more candidates earn higher future abnormal returns.
- The result survives controls for size, book-to-market, momentum, and selection into political activity.
- Alternative measures based on relationship strength, home-state ability, and committee power also predict future returns.
- The effect is strongest for home-state candidate support, House candidates, and Democrats.
- Political-index-weighted portfolios earn positive monthly CAPM and Fama–French–Carhart alphas.
- Political indexes also predict future improvements in ROE, consistent with a real performance channel.
- The paper does not fully settle whether the return relation reflects risk, mispricing, omitted firm characteristics, or causal benefits from political connections.

8 Conclusion

8.1 Core conclusion

Cooper, Gulen, and Ovtchinnikov show that corporate political contributions contain information about future stock returns. Firms that support more political candidates, and firms with stronger or more locally relevant candidate relationships, earn higher subsequent abnormal returns.

8.2 Economic intuition

Political contributions may help firms build access to politicians, obtain information, influence regulation, secure contracts, or reduce policy uncertainty. Even if hard-money PAC donations are small, they may be the visible part of a broader political strategy. The breadth of contributions may therefore proxy for the scope of a firm’s political network.

8.3 Incremental contribution revisited

The paper’s main contribution is to convert detailed FEC contribution records into firm-level, year-by-year measures of political involvement and to show that these measures predict future returns in a large panel. This complements event-study evidence on political connections by showing a persistent cross-sectional relation.

8.4 Implications

The findings imply that political activity may be an economically important intangible asset. They also suggest that investors may not fully or immediately incorporate the value of political connections, or that politically active firms earn compensation for political risk not captured by standard factor models.

8.5 Limitations

The design is observational. Political contributions are chosen by firms and may be correlated with omitted traits such as managerial ability, regulatory exposure, lobbying intensity, or latent risk. The inverse Mills ratio and robustness tests reduce some concerns but cannot prove causality. The return premium may also reflect risk rather than mispricing.

8.6 Takeaway

The enduring takeaway is that corporate political activity matters for financial markets. The number and nature of candidates a firm supports predict future abnormal returns and future profitability, making political connectedness a measurable and economically meaningful dimension of firm behavior.